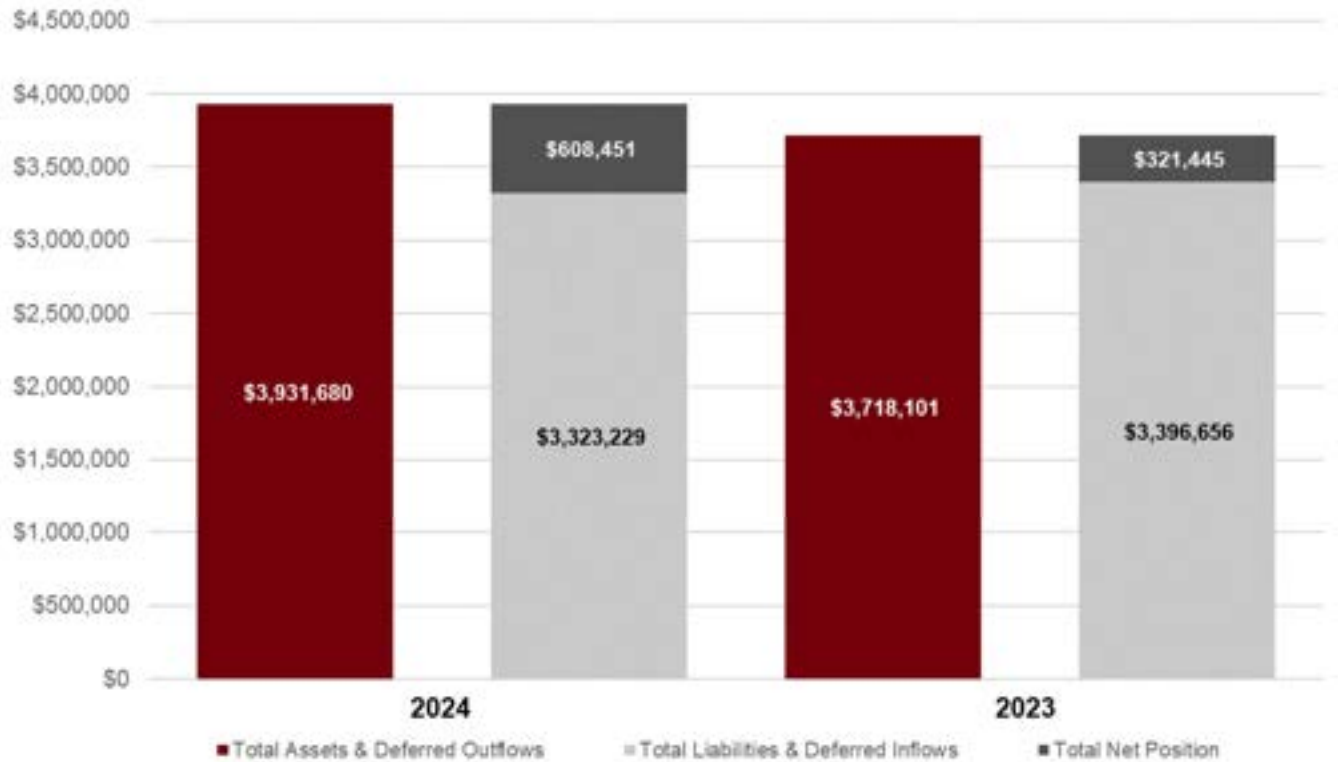


UNIVERSITY OF SOUTH CAROLINA
Management's Discussion and Analysis
(Unaudited)

A comparison of the total assets and deferred outflows of resources, liabilities and deferred inflows of resources and net position and the major components of the changes in net position at June 30, 2024, and June 30, 2023, respectively, is presented below. Net position increased \$287.0 million at June 30, 2024, from the prior year.

Net Position

Dollars in thousands



STATEMENT OF NET POSITION

The Statement of Net Position presents the financial position of the University at the end of the fiscal year and includes all assets, deferred outflows of resources, liabilities and deferred inflows of resources of the University. The net position is an indicator of the prudent utilization of financial resources and the overall health of the University, while the change in net position reflects the current year's activities. Assets and liabilities are generally measured using current values. One notable exception is capital assets, which are stated at historical cost, less an allowance for depreciation and amortization. Depreciation and amortization are methods of allocating the cost of an asset over its useful life to indicate how much of an asset's value has been consumed.

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The following table summarizes the University's assets and deferred outflows of resources, liabilities and deferred inflows of resources, and net position on June 30, 2024, and June 30, 2023:

Condensed Statement of Net Position

Dollars in thousands

	2024	2023	Increase (Decrease)	
			Amount	Percent
Assets:				
Current assets	\$ 1,740,353	\$ 1,465,915	\$ 274,438	18.7%
Noncurrent assets				
Endowment and investments	93,022	90,110	2,912	3.2%
Accounts receivable	87,998	146,576	(58,578)	-40.0%
Capital assets, net	1,623,669	1,585,185	38,484	2.4%
Other noncurrent assets	7,693	8,799	(1,106)	-12.6%
Total assets	3,552,735	3,296,585	256,150	7.8%
Deferred outflows of resources	378,945	421,516	(42,571)	-10.1%
Liabilities:				
Current liabilities	230,639	218,039	12,600	5.8%
Noncurrent liabilities	2,521,958	2,673,576	(151,618)	-5.7%
Total liabilities	2,752,597	2,891,615	(139,018)	-4.8%
Deferred inflows of resources	570,632	505,041	65,591	13.0%
Net Position:				
Net investment in capital assets	898,035	844,709	53,326	6.3%
Restricted	655,212	533,959	121,253	22.7%
Unrestricted	(944,796)	(1,057,223)	112,427	10.6%
Total net position	\$ 608,451	\$ 321,445	\$ 287,006	89.3%

CURRENT ASSETS AND LIABILITIES

Current assets consist of current cash and cash equivalents, accounts receivable, and inventories. Current liabilities consist of accounts payable, unearned revenue, and the current portion of long-term liabilities.

Current assets cover current liabilities 7.6 times, an indicator of good liquidity and the ability to weather short-term demands on working capital. Current assets, excluding restricted cash and cash equivalents, cover 9.4 months of total operating expenses, excluding depreciation and amortization. For fiscal year 2024, one month of operating expenses was approximately \$130.3 million.

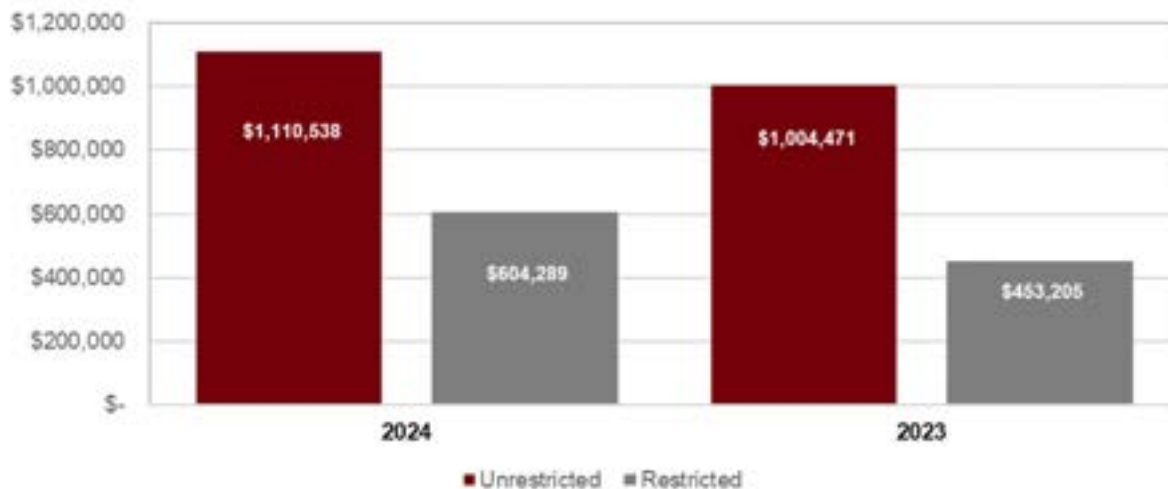
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CASH AND CASH EQUIVALENTS

The University's increase in cash and cash equivalents of \$257.2 million was due in part to unspent non-recurring capital infrastructure appropriations totaling \$244.3 million.

Unrestricted and Restricted Cash

Dollars in thousands



ACCOUNTS RECEIVABLE

The University's decrease in current and non-current accounts receivable of \$38.3 million includes the net of receiving \$72.0 million from prior year receivables for state capital appropriations and an increase in public private partnership receivables of \$28.1 million.

CAPITAL ASSETS AND DEBT MANAGEMENT

A critical factor in sustaining the quality of the University's academic and research programs and residential life is the development and maintenance of its capital assets. The University continues to invest in its capital assets to modernize its older teaching and research facilities, construct new facilities, and fund major maintenance obligations.

The University has \$1.6 billion invested in capital assets as of June 30, 2024, an increase of \$38.5 million net of accumulated depreciation and amortization over June 30, 2023. The increase is due primarily to the net of land purchases of \$12.2 million, additions of \$182.5 million of building and improvements due to a recategorization from construction in progress of \$167.1 million, additions of \$16.5 million in machinery, equipment and vehicles, and a decrease of \$7.3 million in intangibles. A summary of changes in capital assets is disclosed in Note 4.

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Capital assets, net of accumulated depreciation and amortization, at June 30, 2024, and June 30, 2023, were as follows:

Capital Assets

Dollars in thousands

	2024	2023	Percent Change
Land and Other Nondepreciable Assets	\$ 169,069	\$ 153,424	10.2%
Construction in Progress	35,610	202,661	-82.4%
Land Improvements, <i>Net</i>	41,336	45,470	-9.1%
Buildings and Improvements, <i>Net</i>	1,236,704	1,054,240	17.3%
Machinery, Equipment and Vehicles, <i>Net</i>	89,137	72,651	22.7%
Intangibles, <i>Net</i>	12,977	20,203	-35.8%
Leased and Subscription Assets, <i>Net</i>	38,836	36,536	6.3%
Total	\$ 1,623,669	\$ 1,585,185	2.4%

Capital projects consist of replacement, renovation, and new construction of academic and research facilities, purchase of land, as well as significant investments in equipment and information systems.

Completed construction or infrastructure projects totaling \$228.2 million were reclassified from construction in progress (CIP) to other asset categories during fiscal year 2024. These reclassifications included completion of the Campus Village Residential Project, land acquisition for River Property, building acquisition for 1430 Senate Street and renovation for School of Music performance and practice center at Greene Street for the Columbia campus.

Construction activity —Several projects are in progress on the Columbia campus including the new Health Sciences Medical Education and Research campus, comprehensive renovations of the Honors College Residence Hall, McBryde Residence Hall, and Thornwell College Residence Hall, development of Medical Park – Brain Health Institute Building renovation and enhancement energy plant enhancement and improvements, and Jones Biology Instructional Lab improvements and renovations. Maintenance work and other renovations are ongoing in Columbia and on the system campuses to preserve the functionality of the campuses' physical assets. Upstate campus has a renovation and expansion project for the Library and Classroom Building. Aiken campus has projects for renovations to include the Business and Education Building and constructing an Athletic Softball Facility. All campuses have multiple projects for maintenance, renovation, and replacement due to the additional capital appropriations from the State.

Capital appropriations – The State has recognized the importance of the capital infrastructure and provided increased non-recurring appropriations and Capital Reserve Fund funding in fiscal year 2024 totaling \$88.0 million which includes funding for the following: \$48.5 million for maintenance, renovation and replacement for University capital assets, \$29.0 million for the Columbia Science and Technology Center, and \$10.0 million for the Beaufort Convocation Center.

Capital financing — During fiscal year 2024, the University closed on a partial refunding of 2013 Higher Education Revenue Bonds. See Note 9 for additional details.

The University completed a comprehensive rating review with both Moody's Investors Service and Fitch Ratings as a part of the partial refunding of 2013 Higher Education Revenue Bonds. Moody's and Fitch rated the 2023 bonds at Aa2 and AA respectively, and they affirmed Aa2 and AA ratings, respectively for the University's outstanding bonds for Higher Education Revenue Bonds and Special Higher Education Revenue Bonds. Moody's affirmed Aa3 on outstanding athletic bonds.

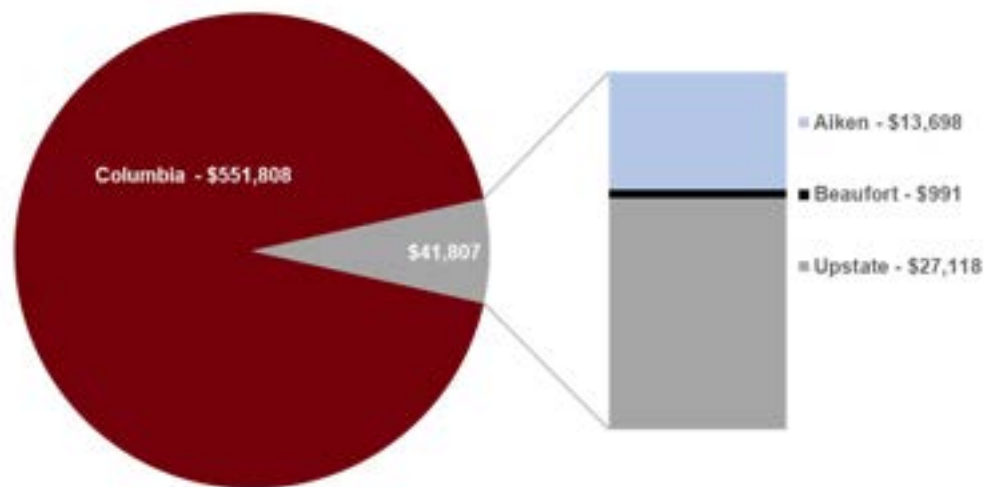
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A comprehensive annual review of the University's current bond portfolio includes looking at current and future debt service and future bond maturities. The review includes looking for opportunities for refunding for all bond types, an analysis of the bond market and current interest rates, and a discussion on future bond issuances. This review of the University's portfolio helps identify and maximize future opportunities for savings.

Debt management — The University's outstanding bond indebtedness on June 30, 2024 is \$593.6 million of which \$551.8 million or 92.9 percent of this debt is for the Columbia campus. The University's outstanding bond indebtedness decreased due to normal debt service payments during the fiscal year.

Outstanding Bonds Payable by Campus

Dollars in thousands



The University believes it is in compliance with all related bond covenants of its issued debt. See Statistical Section for coverage ratios and additional details.

CURRENT LIABILITIES

The University's increase in current liabilities of \$12.6 million is partially due to the increase in advance ticket sales for athletic events.

OTHER NONCURRENT ASSETS AND LIABILITIES

Excluding capital assets and accounts receivable discussed above, other noncurrent assets were \$100.7 million at June 30, 2024, and \$98.9 million at June 30, 2023, reflecting a 1.8 percent increase. Other noncurrent assets include restricted cash and cash equivalents, federal loan receivables, investments and other assets. This increase is attributable to an increase in endowments.

Total noncurrent liabilities were \$2.5 billion at June 30, 2024, and \$2.7 billion at June 30, 2023. These noncurrent liabilities for 2024 include net OPEB liability of \$780.3 million, net pension liability of \$1.0 billion and \$664.3 million in bonds and notes payable. The overall decrease in noncurrent liabilities is primarily due to the decrease of \$128.3 million in net OPEB liabilities. For additional information on the change in net pension and OPEB, refer to Notes 5 and 6.

UNIVERSITY OF SOUTH CAROLINA
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NET POSITION

Net position represents the value of the University's assets and deferred outflows of resources after liabilities and deferred inflows of resources are deducted. The University's net position was \$608.5 million at June 30, 2024, and \$321.4 million at June 30, 2023.

Net Position Summary

Dollars in thousands

	2024	2023	Increase (Decrease)	
			Amount	Percent Change
Net investment in capital assets	\$ 898,035	\$ 844,709	\$ 53,326	6.3%
Restricted for:				
Nonexpendable	91,292	87,653	3,639	4.2%
Expendable	563,920	446,306	117,614	26.4%
Unrestricted	(944,796)	(1,057,223)	112,427	10.6%
Total Net Position	\$ 608,451	\$ 321,445	\$ 287,006	89.3%

Net investment in capital assets represents the University's capital assets net of accumulated depreciation and amortization, and outstanding principal balances of debt attributable to the acquisition, construction, or improvement of those assets. The increase in net investment in capital assets of \$53.3 million is due to normal capitalization of assets offset by depreciation, amortization, and payments on debt.

Restricted nonexpendable net position represents the historical value (corpus) of the University's permanent endowments, which cannot be expended due to donor restrictions.

Restricted expendable net position includes spendable earnings on permanent and quasi-endowments, gifts, capital project funds, and loan funds that are subject to externally imposed restrictions governing their use. Restricted expendable net position increased \$117.6 million primarily due to Capital Reserve Fund and non-recurring project appropriations from the State of \$117.0 million.

Unrestricted net position includes all other activities that are both spendable and not subject to externally imposed restrictions. The majority of the University's unrestricted net position has been internally designated for the core mission activities of instruction and research and associated programs and initiatives, and capital projects that align with the University's highest priorities. The unrestricted net position demonstrates the impact of the GASB 68 and GASB 75 through the noncurrent liabilities of net pension liability of \$1.0 billion and OPEB liability of \$780.3 million which decreased overall by \$123.3 million in the current year.